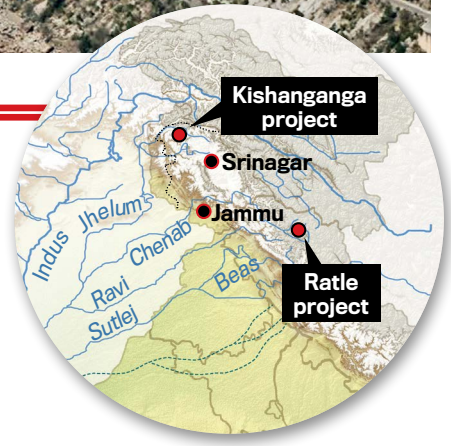




- **2016:** India requests Neutral Expert, refuses to participate in arbitration; World Bank 'pauses' both processes
- **2017-2022:** Five Permanent Indus Commission meetings fail to resolve the impasse
- **Mar. 2022:** World Bank resumes process to appoint Neutral Expert and Court of Arbitration
- **Dec. 2022:** India writes to World Bank, suggesting lack of impartiality in its decision to revert to parallel proceedings
- **Jan. 2023:** The Court of Arbitration holds its first meeting. India skips it
- **Jul. 2023:** World Bank says the treaty does not empower it to decide whether one procedure should take precedence over the other
- **Jun. 2024:** A Pakistan delegation travels to J&K as part of the Neutral Expert panel to inspect disputed projects, including Ratle

tration in 2016, followed by a "pause" in the process, and the World Bank's decision in 2022 to go back to the parallel proceedings have raised questions about the dispute resolution procedure itself (see *Troubled Waters*).

As both countries grapple with thorny bilateral ties, the treaty's provisions are coming under scrutiny in the light of climate change too. Iftikhar A. Drabu, a civil engineer with expertise in the IWT, argues for a focused review of the treaty in light of changing climatic conditions. "The impact of these changes on the parameters of the treaty need to be studied along with the impact climatic change is likely to have on it during the course of, say, the next three to four decades," he asserts.

The geopolitical significance of the treaty and how it holds up is clear enough. While the recent visit has sparked cautious optimism about potential diplomatic thaws, substantial hurdles remain. New Delhi's stance on terrorism and the complex history of India-Pakistan relations continue to cast long shadows over any prospects for normalised ties. Not to forget, Prime Minister Narendra Modi's warning that "blood and water cannot flow simultaneously" in the aftermath of the Uri terror attack in 2016. Academic Radha Kumar, a former interlocutor on Kashmir, suggests keeping the IWT separate from overall bilateral relations. "This treaty has worked during heightened hostilities and, in that sense, it is a separate channel and should not be related to overall relations between the two countries," she argues.

The treaty's future also has implications for the hydropower potential of the western rivers. For India, these rivers have an overall potential to generate 15,000 MW, of which about 3,400 MW stands commissioned and another 3,100 MW is under construction. However, cost escalation owing to delays and the decreasing costs of solar energy have raised questions about the economic viability of some of the proposed projects.

As India and Pakistan navigate the challenges of water scarcity, the IWT remains a vital, if strained, lifeline between the two nations. "A renegotiation could be risky, especially for Pakistan, which is inherently more vulnerable as the lower riparian," feels Kugelman. "The treaty is quite generous to Pakistan, as it allocates about 80 per cent of the Indus basin's flows to it. For a deeply water-insecure country...that's critical." So, while Pakistan hopes to prevent any adverse reward through the parallel proceedings, India has boycotted arbitration, which is proceeding ex parte. Against this backdrop, the treaty's ability to evolve and adapt may well determine the course of not just water-sharing but also broader relations between these nuclear-armed neighbours in the years to come. ■